

KEY DEMAND DRIVERS

In 2025, Ericsson came out with a set of interesting numbers—Indians are the biggest consumers of data, with an average of 36 GB per user per month. Whether it is enterprises storing data on the cloud, consumers streaming live sports or watching the latest web series—all this is generating copious amounts of data.

This, in turn, is driving demand for data centres at an unprecedented pace. Existing players are ramping up expansion plans and newer, nimbler companies are entering the segment in a bid to tap the growing demand for AI data centres.

40 | In February, Yotta Data Services, a provider of hyperscale data centres, sovereign cloud, and AI compute infrastructure, announced an investment of \$2 billion to deploy Nvidia Blackwell GPUs or Graphics Processing Units to form one of Asia's largest AI superclusters. Last year, information and communications technology company Sify Technologies announced an investment of \$5 billion to modernise and expand its data centre operations. This is only the beginning.

Purushothaman KG, Partner and Head of AI and Technology Transformation, KPMG in India, believes this is a significant transition. "The India data centre story is, at its core, a story of the country's pivot towards a digital economy. This shift is being driven not only by India's role as a global exporter of technology services, but also by the rapid expansion of a domestic consumer base that is increasingly consuming digital and technology-led services," he says.

India's data centre capacity is

currently pegged around 1.4 GW and projected to double by 2027, going by the capacity under construction, and can grow five-fold by 2030 if the projects are fast-tracked, according to a report by Macquarie Equity Research. But this barely makes a dent in how India stacks up against the rest of the world. Consider this: the global data centre capacity is about 122 GW, which puts India at just over 1% of the global capacity. Given the volume of data being generated and processed in India, the current capacity is simply not enough, especially as the boom in AI applications across sectors is expected to generate more demand. This is fundamentally changing how data centres will be required to be built, run and operated.

Rajiv Ranjan, associate research director, International Data Corporation (IDC), says Tier II cities are poised to be at the forefront of this transformation. "We expect more AI workloads to get deployed in the next three-four years, driving the demand for edge data centres in Tier II cities and in locations that are closer to customers or where data is generated. Higher demand and deployment of AI-optimised servers in colocation data centres will drive the power consumption very fast. Enterprises will have to build higher power

1 Cloud computing from IT, financial services, life sciences sectors

2 AI workloads and inferencing need specialised infrastructure

3 Growing need for real-time data processing and analytics

4 Data sovereignty norms requiring companies to store sensitive data within the country

5 Companies setting up smaller or edge data centres to be closer to consumers

6 Enterprises placing new demands on co-location partners to cater to their changing needs